EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Allacapan, Province of Cagayan started as a district of the Municipality of Taoit, Mountain Province in 1926. It was ceded to Cagayan in 1928 and became a regular Municipality in 1945 by virtue of Commonwealth Act 5904. Allacapan is a third-class municipality as per income class and is composed of 27 barangays, with a total population of 35,234 in 8,081 households (actual data from the MHO based on BHW Census 2020). It is one of the municipalities in the north located about 25 kilometers west of the Magapit Suspension Bridge.

B. Scope and Objectives of Audit

The audit covered the accounts and operations of the Municipality of Allacapan for CY 2023 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the International Public Sector Accounting Standards (IPSASs), and whether prevailing laws, rules and regulations have been complied with and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audits were conducted to achieve these audit objectives.

C. Financial Highlights

The highlights of the financial condition, financial performance, appropriation, allotments and obligations of the Municipality of Allacapan, Cagayan for the year ended December 31, 2023, with comparative figures for CY 2022, are as follows:

Particulars	2023	2022	Increase/ (Decrease)
Financial Position			
Assets	665,851,165.88	661,100,590.74	4,750,575.14
Liabilities	104,885,229.09	141,110,247.72	(36,225,018.63)
Government Equity	560,965,936.79	519,990,343.02	40,975,593.77
Financial Performance			
Income	219,341,779.03	250,763,855.18	(31,422,076.15)
Expenses	210,726,397.99	194,925,061.46	15,801,336.53
Net Income	8,615,381.04	55,838,793.72	(47,223,412.68)

D. Operational Highlights

The major accomplishments of the Municipality for CY 2023, in terms of implementation of programs, projects and activities, are as follows:

Name of Program/ Project/ Activity	Amount
Continuation of the Allacapan Sports Complex	P4,991,722.04
Concreting of Labben to Utan Roads	9,994,140.61
Construction of Barangay Sports & Cultural Center	4,991,600.34
Concreting of Road Going to Municipal Cemetery	3,926,113.67
Continuation of the Improvement of Municipal MPB	2,000,000.00
Development of Campsite (Provincial Jamboree)	1,883,514.04
Rehabilitation of Water System	3,300,895.89
Rehabilitation of Drainage Canal along AVHS & Provincial Road	677,269.90
School Gymnasium of Bessang	870,334.50
Total	**P32,635,590.99**

E. Independent Auditor's Opinion on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Allacapan, Cagayan for the year-ended December 31, 2023 due to: (1) incomplete inventory report and non-conduct of the one-time cleansing procedures of PPE affecting the reliability of the said account amounting to P538.828 million; and (2) unreconciled balance of Road Networks account per Accounting Records and Inventory Report amounting to P75.731 million.

F. Summary of Significant Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. Outstanding checks totaling to P11.765 million as at December 31, 2023 included stale checks amounting to P0.684 million, which have been stale for more than six (6) months to fifteen (15) years, contrary to Section 59 of the Manual on the New Government Accounting System for LGUs, thus, casting doubt on the accuracy, propriety and reliability of the Cash in Bank account.

   We recommended that the Municipal Accountant:

   A. Exert extra effort to review the long outstanding/stale checks and require the Municipal Treasurer to cancel the unclaimed stale checks and to furnish the Accounting Office with the original Disbursement Vouchers and its supporting documents, for the preparation of the Journal Entry Voucher, following the procedures prescribed to ensure recording of such cancellation.

   B. Secure monthly bank statements to prepare the Bank Reconciliation Statements to determine whether checks claimed by the payees were

presented for payment, and secure the addresses of the payees for notification of the return of stale checks in their possession for replacement.

C. Draw the JEV to restore the cash and liabilities pertaining to the stale checks to present fairly the recorded Cash in Bank and Accounts Payable accounts.

2. The Municipality did not effectively monitor the grant of financial assistance to Barangays and its subsequent liquidation, which resulted in the accumulation of unliquidated financial assistance totaling P4.806 million as of December 31, 2023, which is contrary to Items 3.1.1 and 3.1.2 of COA Circular No. 2012-001 dated June 14, 2012.

   We recommended that the Management instruct the Municipal Accountant to:

   A. Require the concerned barangays to submit immediately the liquidation reports for fund transfers totaling P4.806 million;

   B. Assign a person responsible/in-charge in monitoring the submission of liquidation reports due for submission and issue demand letters to concerned barangays who failed to comply. This will ensure immediate submission of liquidation reports after the purpose/s for which it was granted has been served or completed;

   C. Not to allow the payment of fund transfer unless the required certification that previous fund transfers have already been liquidated or accounted for, thus avoiding accumulation of past due accounts pursuant to Item 3.1.1 of COA Circular No. 2012-001 dated June 14, 2012; and

   D. Initiate the request for write-off of the unaccounted balance amounting to P0.127 million of the Due from LGUs account in accordance with COA Circular No. 2016-005 dated December 19, 2016.

3. Other Receivables account amounting to P3.506 million remained dormant as at December 31, 2023, hence, should be validated and verified in accordance with COA Circular No. 2016-005 dated December 19, 2016, in order to establish its existence, to determine its collectability and to consider the need to write-off of the said account.

   We recommended that the Management, thru the Municipal Accountant, immediately undertake the necessary procedures outlined in COA Circular No. 2016-005 dated December 19, 2016 and expedite the validation of the collectability of dormant receivables and when determined uncollectible, initiate a written request for the authority to write-off the dormant accounts to

ensure compliance with relevant laws and regulations and promote fair presentation of the Other Receivables account in the financial statements.

4. Payment of Representation and Transportation Allowance for CY 2023 totaling P3.704 million to elected officials and department heads was not supported with complete documentation, contrary to COA Circular No. 2012-001 dated June 14, 2012 and pertinent provisions of Local Budget Circular No. 103 dated May 15, 2013, thus, casts doubt on the propriety of the transactions and on the accuracy of the amount of RATA claimed.

   We recommended that the Management:

   A. Require the Human Resource Management Officer to submit a copy of the monthly Approved Daily Time Record or a certification of actual number of workdays performed as basis in the computation of the allowable amount due to each claimant pursuant to Item 7 of Local Budget Circular No. 103;

   B. Direct the Municipal Accountant not to process payrolls for RATA without the above required documents; and

   C. Stop the granting of transportation allowance to municipal officials and employees who are actually using government vehicles in the performance of their official functions.

G. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	**-**	**-**	**-**	**-**	
Disallowances					
Prior Years	2,694,076.02	-	184,850.00	2,509,226.02	6.86%
Current Year	-	-	-	-	-
Total	**2,694,076.02**	**-**	**184,850.00**	**2,509,226.02**	**6.86%**
Charges					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	**-**	**-**	**-**	-	

H. Status of Implementation of Prior Year's Audit Recommendations

Out of the fourteen (14) audit recommendations embodied in the CY 2022 Annual Audit Report, five (5) were fully implemented, six (6) were partially implemented and three (3) were not implemented, hence, reiterated in Part II of this Report.